# Credit Access Grameen Ltd

May 20, 2020

DALAL & BROACHA
STOCK BROKING PVT. LTD.

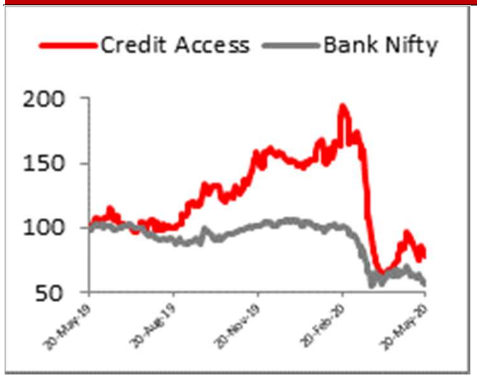
**Analyst: Akshay Ashok 022 67141486**

**Initiating Coverage @ Dalal & Broacha**

| BUY | |
|---|---|
| Current Price | 408 |
| 52 Week Range | 306/1000 |
| Target Price | 659 |
| Upside | 62% |

| Key Share Data | |
|---|---|
| Market Cap (Rs.bn) | 58.76 |
| Market Cap (US$ mn) | 777.87 |
| No of o/s shares (mn) | 143.99 |
| Face Value | 10 |
| Monthly Avg. vol(BSE/NSE) Nos'000 | 131.50 |
| BSE Code | 541770 |
| NSE Code | CREDITACC |
| Bloomberg | CREDAG:IN |

**Price performance**




| % Shareholding | Mar-20 | Dec-19 |
|---|---|---|
| Promoters | 79.94 | 80.01 |
| Public | 20.06 | 19.99 |
| Others | 0.00 | 0.00 |
| **Total** | **100.0** | **100.0** |

**Credit Access Grameen Ltd (Creditacc) has shown industry leading GLP growth of 44% YoY, disbursement growth of 69% YoY, with strong ROE of 16.5% and ROA of 4.6% in Q3FY20.** Creditacc has successfully managed to increase their NIM (%) to 12.4% in Q3'20 from 12.3% in Q2'20, and also keep their costs in check reflected by a strong reduction in cost to income ratio to 34.8% in Q3'20 from 39.8% in Q2'20. **Credit access has a strong track record is reflected by CAGR growth in GLP'(49.14%), Disbursements(44.3%), Net Interest Income(57.1%) and PAT(60.1%) between 2015 and 2019.**

Going forward, we expect the company's loan book to grow at CAGR ~33% in FY20-22E. At CMP the stock trades at 1.80x its FY21E BVPS and 1.52x its FY22E BVPS (**Peak valuation 4.55x its FY21E BVPS and 3.83x its FY22E BVPS**). After considering company's industry leading position and under penetration of rural credit which can prove to be a huge opportunity in microfinance sector, **we initiate coverage on CreditAcc with a BUY rating giving a P/BV multiple of 3.0x on FY21E BV to arrive at target price of Rs 659 i.e. upside of 62%.**

***(Please note: the stock is currently in ASM LT: Stage 1)***

**Loan growth**

**Strong traction in rural credit need:** Massive number of unbanked districts in India will enable the company to drive volumes. Rural Areas contribute 47% to the GDP and only 10% of total credit outstanding, since 82% of Creditacc borrower base are from rural areas they can continue to expand their borrower base. In the first three quarters of FY'20 the company has opened 258 new branches and entered into states like Rajasthan, Gujarat, Bihar and Uttar Pradesh. The company is very conservative in its approach to enter into a new state and mostly move adjoining adjacent district. Creditacc has managed to reduce concentration of GLP to a particular state significantly over the last few years.

Karnataka that formed 69.6% of GLP in FY15 now forms only 49.4% in Q3'20(41% after Madura acquisition). In 78% of the districts, no single district has > 0.5% of the total portfolio **hence eliminating concentration risk.** We expect the company to grow their loan book at 33% CAGR between FY'20 and FY'22.

**High Quality Loan Book**: Microfinance companies face issues like floods, draughts, loan waivers etc. and this causes stress in their books, Creditacc has managed to keep GNPA at extremely low levels (0.85% Q3'20 and 0.61% in FY19) NNPA levels are always maintained at 0%. The slight increase in GNPA's in Q3'20 was on account of floods that happened in Aug'19 in districts of Sangli and Kolhapur (Maharashtra) and Belgaum (Karnataka). Situation has normalised there and collection efficiency is back to normal. There were collection issues in 2 districts of coastal Karnataka as borrowers there were expecting a loan waiver, situation is being brought under control. 85% of loan book comprises of income generation Joint Liability Group loans where chances of default are low and there is a good chance that there will be a second and third cycle of borrowing. Higher risk retail loans form only 5% of the total GLP.

**Financials (Rs. Millions)**

| Years | NII Growth(%) | OP Growth(%) | PAT Growth(%) | EPS | BVPS | P/BVPS |
|---|---|---|---|---|---|---|
| **FY19** | 58 | 82 | 52 | 22 | 165 | 2.40 |
| **FY20E** | 55 | 41 | 50 | 33 | 197 | 2.01 |
| **FY21E** | 20 | 14 | (28) | 24 | 220 | 1.80 |
| **FY22E** | 28 | 25 | 74 | 41 | 261 | 1.52 |

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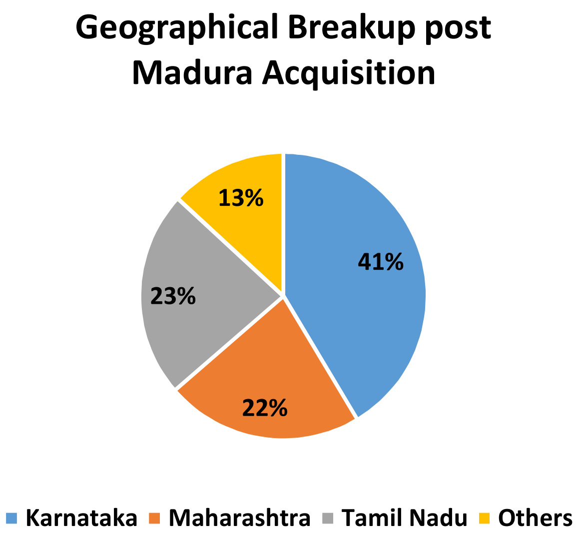
**Background**




(Source: Company, Dalal & Broacha Research)

Credit Access Grameen Limited (formerly known as Grameen Koota Financial Services Pvt. Ltd.) was born out of the need for timely and affordable credit to India's poor and low-income households. Credit Access Grameen targets women, because they are an integral part of the family, community and country's socio-economic environment.

The company is engaged in providing micro finance services to women who are enrolled as members and organized as Joint Liability Groups as well as retail loans to graduated customers.

**It has its presence across 230 districts in 13 states and one UT. JLG income generation loans form 85% of their loan book which is a very big positive as these loans lead to specific economic activity.**

**Government and RBI Initiatives**

As part of the **Rs. 20 trillion stimulus package announced to fight Covid the Government announced ₹300bn for the purchase of investment grade debt of NBFCs, HFCs and MFIs.** This will be done by banks with a government credit guarantee on this paper and will support MFIs, HFCs and NBFCs to raise funds, **CreditAcc can tap this line of funding in the coming days for additional liquidity.**

In the month of April, to fight Covid-19, RBI announced LTRO2 for an initial aggregate amount of Rs 500bn, with at least 50% of the total amount going to small and mid-sized NBFCs and MFIs. Of the 50%, 10% has to be deployed in securities or instruments issued by MFIs which amounts to Rs 25bn, which CreditAcc can tap into. In addition to this Nabard will receive Rs 250bn for refinancing regional rural banks, cooperative banks and MFIs while Sidbi will get Rs 150bn, which can also be tapped by CreditAcc to tide over Corona crisis.

**RBI in October'19 raised the lending cap for microfinance institutions to Rs 1.25 lakh, against the earlier limit of Rs 1 lakh, to improve credit availability in rural and semi-urban areas. It was also decided to increase the household income limit for borrowers of non-banking financial companies-micro finance institutions (NBFC-MFIs) from the current level of Rs 1 lakh for rural areas and Rs 1.60 lakh for urban/semi urban areas to Rs 1.25 lakh and Rs 2 lakh, respectively. This helped NBFC-MFI to increase their GLP's and reach out to more borrowers.**

Pradhan Mantri MUDRA Yojana was launched in April 2015 for providing loans up to 10 lakhs (collateral free) to the non-corporate, non-farm small/micro enterprises. These loans are classified as MUDRA loans. These loans are given by Commercial Banks, RRBs, Small Finance Banks, Cooperative Banks, NBFC'S and NBFC-MFI''s. Loans under Mudra Scheme are guaranteed by Credit Guarantee for Micro Units and is provided through National Credit Guarantee Trustee Company. Most of the Mudra loans given by the MFI's fall under 'Shishu' category i.e. loan up to Rs50,000. A 2 per cent interest subvention on Shishu loans has been given under the MUDRA scheme, the company can expand its borrowing from MUDRA to give its customers the benefit.

**Industry Analysis**

Based on the publication by the Microfinance Institutions Network as on Q3'20 the NBFC-MFI portfolio de-grew by 7% to Rs. 661.59bn from Rs. 715.09bn. Bank's share of microfinance industry increased by 60% YoY to Rs. 838.76bn from Rs. 523.71bn mainly on account of merger of Bharat Financial Inclusion with IndusInd Bank.

**Out of the total micro credit loan outstanding the share is as follows: Banks (40%), NBFC-MFI (31%), SFB (18%), NBFC (10%) and others.**

The total micro credit outstanding portfolio stands at Rs .2.1 Trillion. Loan accounts in Q3'20 increased to Rs.101.1Mn from Rs. 840mn crores in Q3'19.

67 lakhs loans worth Rs 192.75bn were disbursed in Q3'20 up from 83 lakh loans worth Rs 211.53bn in Q3'19.

RBI did its part to help microfinance companies gain customers in October 2019.

**RBI in October 2019 raised the lending cap for microfinance institutions to Rs 1.25 lakh, against the earlier limit of Rs 1 lakh, to improve credit availability in rural and semi-urban areas. RBI also has said that borrowers with annual household income up to Rs 1.25 lakh in rural areas would now be eligible to take micro loans while the threshold limit was Rs 1 lakh earlier. Similarly, income limit has been raised to Rs 2 lakh from Rs 1.6 lakh for borrowers in urban and semi urban areas.**

Microfinance Institutions loose borrowers as RBI restricts the number of MFI's from whom the borrower can borrow to two at the same time. Borrowers opt to take third loan from Banks or Small Finance Banks and close the existing loan from the MFI.

**To counter this MFI's are looking to increase the ticket size of the borrower, the average ticket size for NBFC-MFI's in FY19 was Rs 25,850, for 30th September 2019 in the report by SIDBI and Equifax the average ticket size has increased to Rs 27,442.**

Increasing ticket size and reducing number of group members in JLG can cause stress in the system.

The 30 day and 90-day delinquency slightly increased as on 30th September 2019 compared to FY19 and should be closely monitored.

Eastern India offers maximum potential for growth for these NBFC-MFI but they need to proceed with caution as showcased by the recent issues in Assam

NBFC-MFI prefer JLG over SHG because in case of SHG bank account is required and loan is given against deposit made. The group members in JLG is also less in number in comparison to SHG making it easier to monitor the group members.

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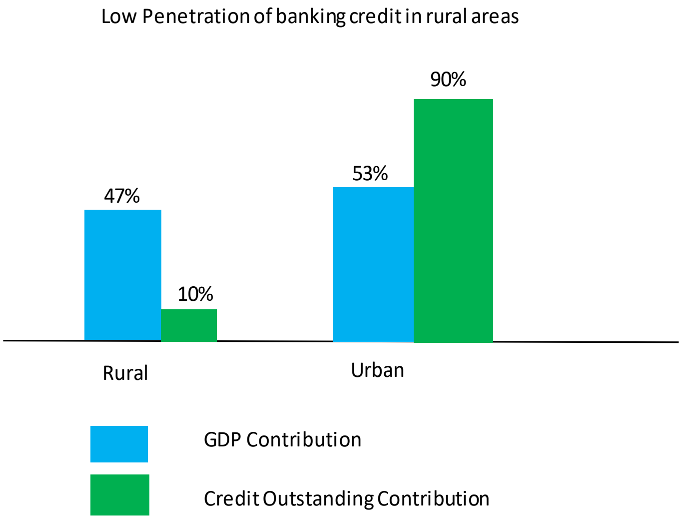
## Low Penetration Implies Room for Growth and Code for responsible lending.

As we can see from the above although rural areas contribute 47% to the GDP, they contribute a meagre 10% to total credit outstanding, there is enough scope for CreditAcc to grow their GLP's at least at CAGR of 33% going forward.

There is stagnation in credit growth in urban areas and there is a shift towards rural areas across the industry.

Chances of default in the JLG groups of rural areas is comparatively lesser compared to urban areas as each member of the group know each other and keep a check on one another.



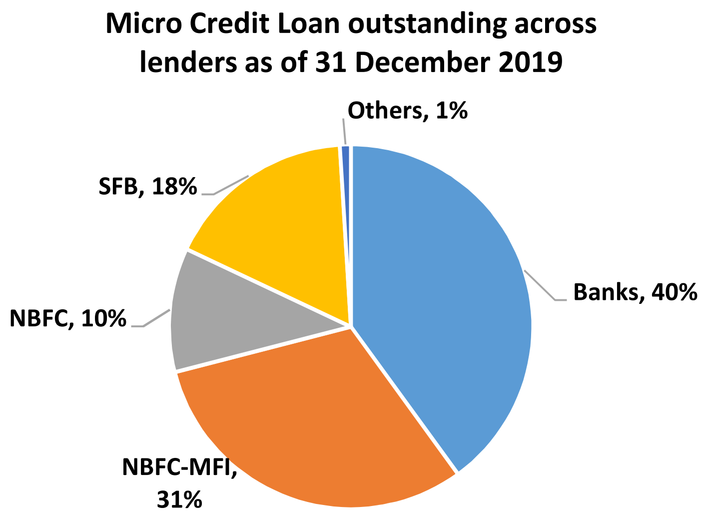

Bank's penetration in rural areas is still very less and ticket sizes they operate in much higher compared to MFI's, the ticket size banks operated in till September 2019 was Rs. 36,7534, SFB's at Rs. 33,624 and NBFC-MFI's at Rs. 27,442.

NBFC-MFI's also operate on the cash-based model, which makes it easier to disburse and also collect loans. People in rural areas are more comfortable dealing in cash rather than going through the process of opening bank accounts.

NBFC-MFI players lose market share as RBI has imposed a rule that maximum of 2 MFI's can lend to a borrower, so micro lenders have decided to sign CRL, to allow MFI's to be the third lender, but few SFB's have not yet signed 3-4 lender norm as they may lose market share to the MFI's. Once all the stakeholders sign NBFC-MFI's these players will not lose borrowers at a fast rate to the banks and SFB's.

(Source: Company, Dalal & Broacha Research)

### Microfinance Credit Outstanding across Lenders

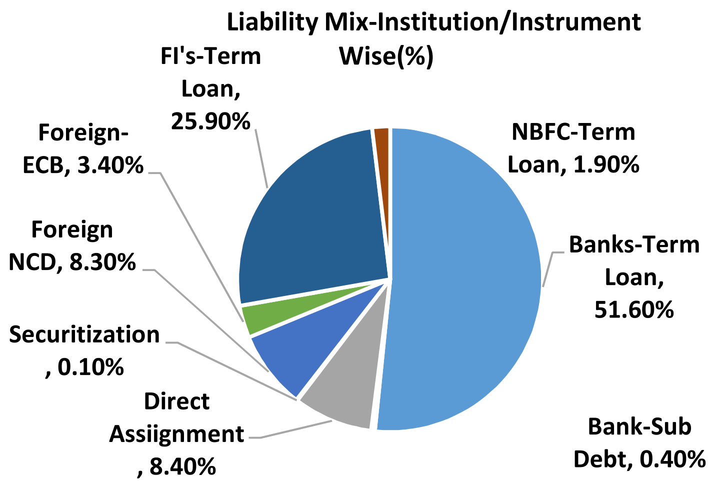



Out of the total micro credit loan outstanding the share is as follows: Banks (40%), NBFC-MFI (31%), SFB (18%), NBFC (10%) and others. NBFC-MFI's need to increase their technological capabilities to compete with banks and SFB's as well as monitor existing borrowers credit profile as stress can increase because ticket sizes are going up on a continuous basis.

(Source: Microfinance Institutions Netowrk, Dalal & Broacha Research)

**Liquidity challenges**

CreditAcc does not face liquidity challenge as they maintain a high CRAR ratio of 33%, The company prefers to maintain a steady source of funding and does not lay large emphasis on cost of borrowing, as lower cost of borrowing needs to passed on to the customer. As on Q3'20 their liability mix is as follows




(Source: Company, Dalal & Broacha Research)

Their target is to meet 40-50% funding requirement through foreign sources, they have also set up an office in Amsterdam to tap foreign investors who will lend dollar denominated loans to the company.

**Currently the major source of borrowing is banks term loans (51.60%) followed by direct assignment (8%).**
The company raised cash for their Madura acquisition (Rs 6.61bn ) by selling off their pool of loans i.e. direct assignment and for the remaining amount will do share swap deal.

**There are no borrowings in form of CPs or bonds from mutual funds. Therefore repayment schedule is well spread over long term. This is an untapped avenue for the company to raise funds.**
Direct Assignment is a useful and efficient way for the company to raise capital as it transfers the risk from their books completely to the buyer's book.

**Strong profitability:** CreditAcc has maintained strong portfolio yields between 19-21%, cost of borrowings has lowered to 10% in 2019 from 12% in 2015, cost of borrowings is expected to further come down but due to regulation (spread to be contained<=10%) the company has to pass on the benefit to the customers. If the regulation is eased the company can widen their spreads significantly. NIM (%) has been consistently above 12%.

**PAT (60.1% CAGR)**, **Net Interest Income (57.1% CAGR) NIM (%) (Consistently above 12%)** between 2015-2019 showcase the strong financial performance shown by the company.

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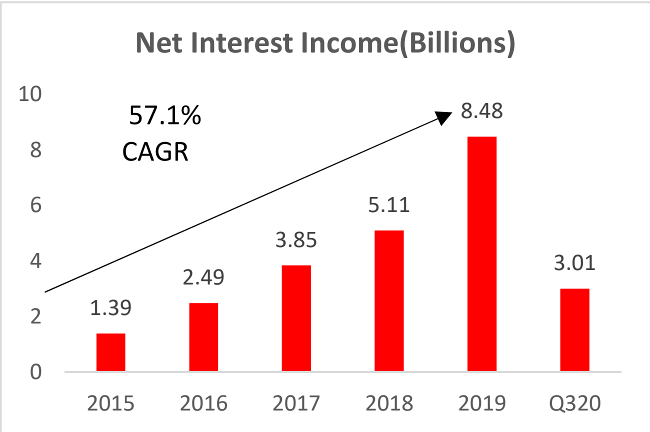
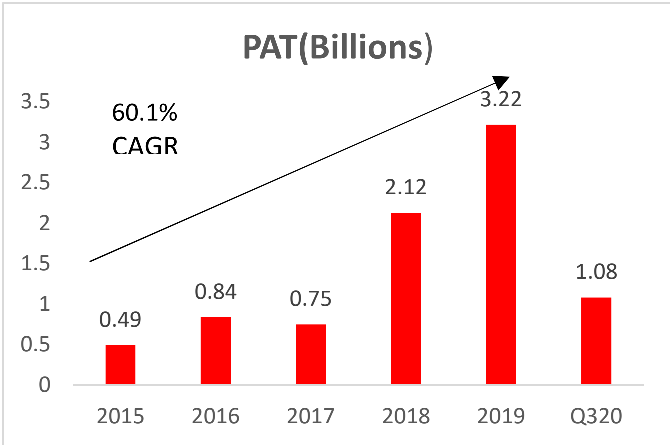
**Net Interest Income CAGR growth of 57.1%**

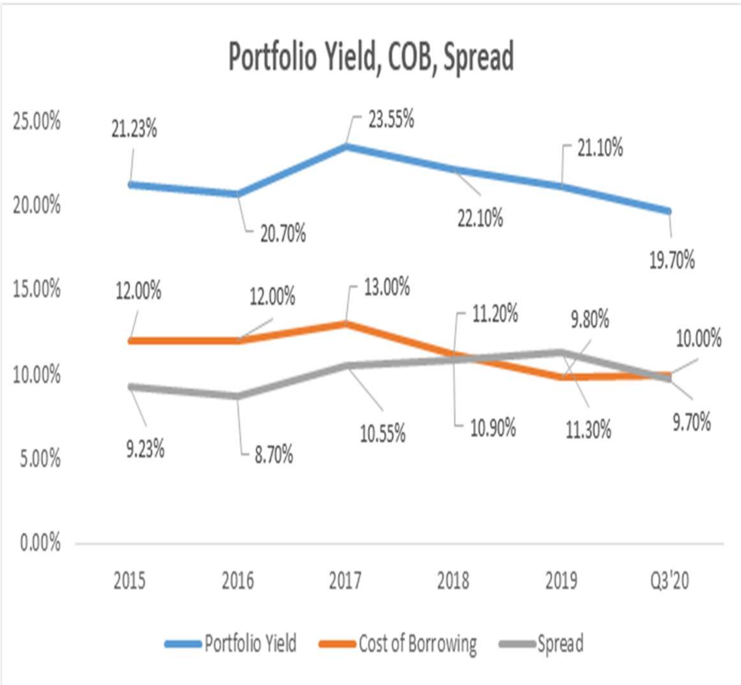



(Source: Company, Dalal & Broacha Research)

**PAT CAGR growth of 60.1%**




(Source: Company, Dalal & Broacha Research)




(Source: Company, Dalal & Broacha Research)

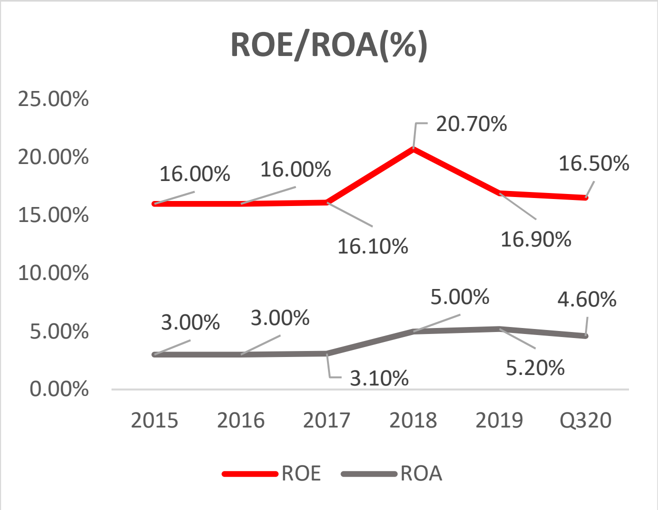
Maximum spreads for MFI's are 10% or just above 10%. This is because RBI does not want the MFI's to burden the borrowers with high interest rates. So, any reduction in cost of borrowings is passed on to the customer

CreditAcc's Q3'20 spread was 9.70%, there is a chance that their cost of borrowing may increase after Madura acquisition with CRAR ratio coming down to around 23% from 32.4%, but the company is confident of maintaining spreads upward of 9.50%.

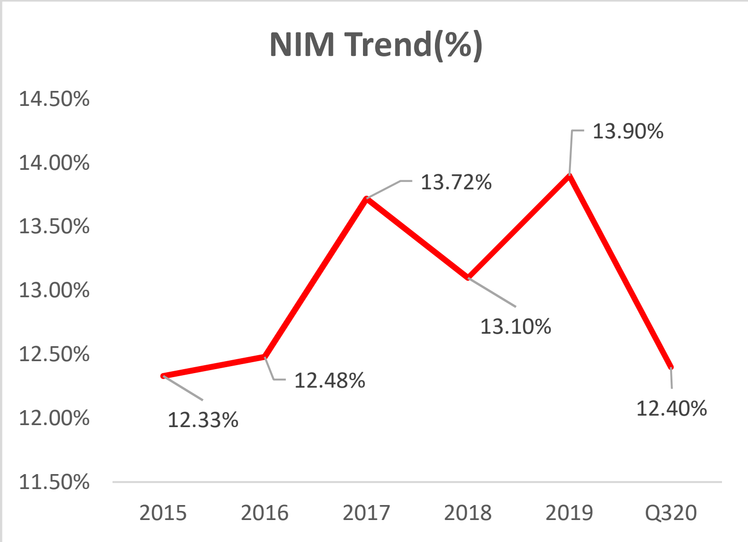
Their yields are as follows: Income Generation Loans Business Investments (21%), Income Generation Loan Income Enhancement (19%), Home Improvement, Family Welfare and Emergency Loans (18%), Retail Finance Loans (20%-22%).

Their weighted average cost of borrowing stood at 10% for Q3'20 down from 10.7% in Q3'19.

**Strong ROE/ROA**

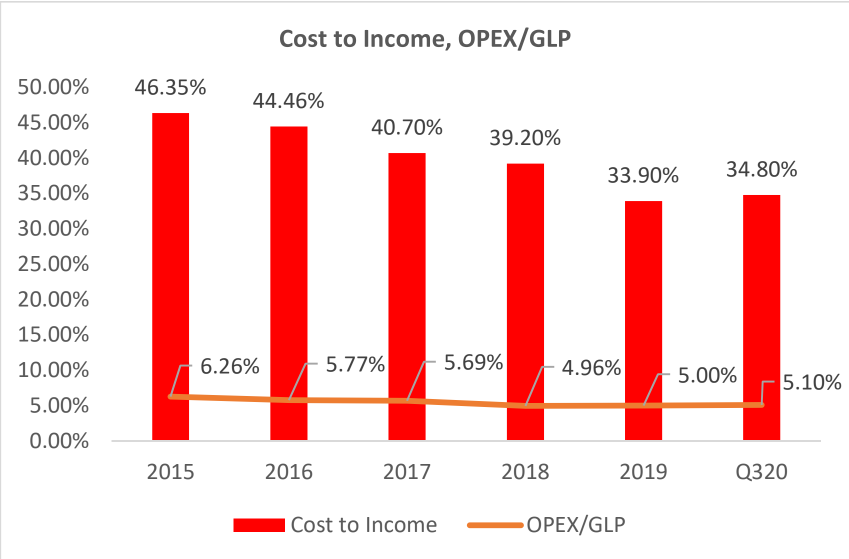



**NIM consistently over 12%**




(Source: Company, Dalal & Broacha Research)

**Strong operating Efficiency**

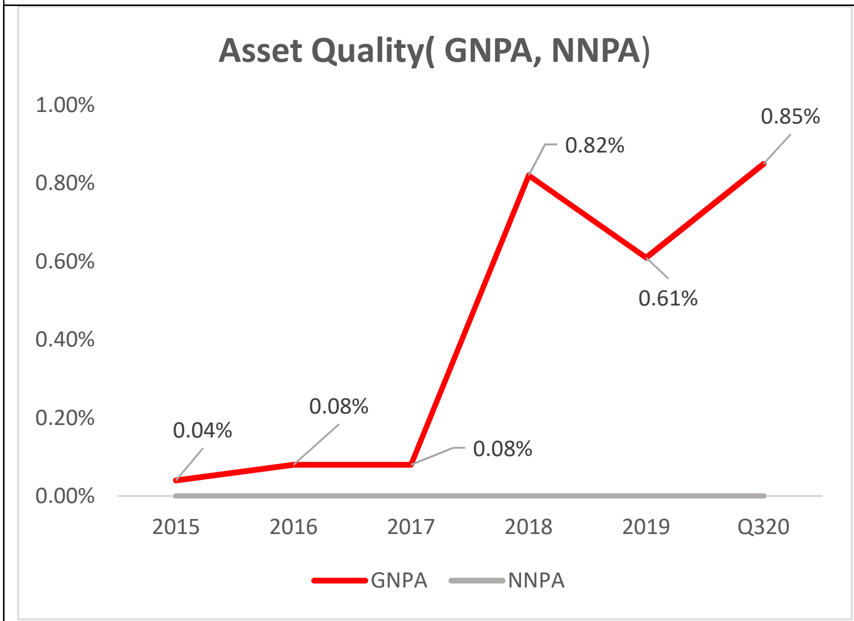



(Source: Company, Dalal & Broacha Research)

**C/I Ratio, OPEX/GLP**

**Cost to Income ratio** has been on a downward trend, showcasing strong operating efficiency, Cost to Income from 46.35% in 2015 has come down to 33.90% In 2019.

Meanwhile another measure of operating efficiency the OPEX/GLP ratio has also come down from 6.26% in 2015 to 5% in 2019, OPEX to GLP can go down further as lot of the costs was front loaded as the company wanted 15-20 branches in the new states they had entered in Q2’20. Branch expansion will slowdown and there will be higher operating efficiency.

<table>
<tr><td><u>GNPA levels have been consistently maintained at below 1 percent levels</u></td><td><u>Stable Asset Quality (<1% GNPA , NNPA- 0%)</u></td></tr>
<tr><td>
</td><td>CreditAcc has consistently maintained GNPA levels at below 1% levels, NNPA is maintained at 0% across the years, indicating company is prudent to do full provisioning. GNPA in Q3'20 showed a slight increase to 0.85% because of the flood and loan waiver situation.<br>The company to recognize stress at an early stage from Q4'19 started classifying any account where payment has not come as loss assets if it is >60 days, whereas IND-AS only warrants assets (Stage 3 assets) to be classified as loss if payment is not received after 90 days. After the rising cases of stress in states like Assam, microfinance companies are moving to daily reporting of loan data to credit information companies from weekly reporting to create an early alert system when loan defaults are motivated by local activism or other factors.</td></tr>
</table>

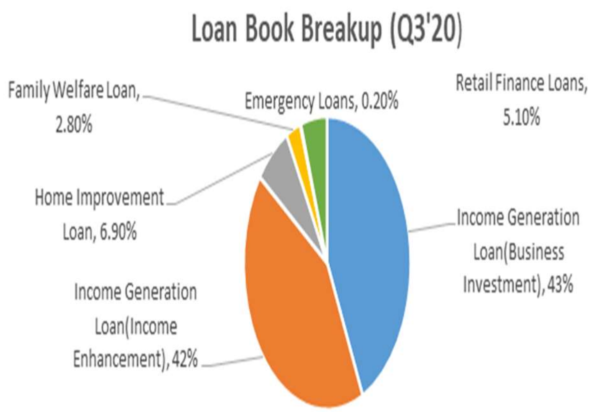
(Source: Company, Dalal & Broacha Research)

**<u>Controlling the risk through effective Loan Review Mechanism & Strong Checks for first time borrowers</u>**

**85% of the loans given are income generation group loans, the groups are not formed by the company but the people in a district who know each other well**.

**For first time borrowers the company does 5-day Group Training** and teach them all the basics, there are MFI's who do a one-day programme or show the borrowers a video. CreditAcc's loan officers go door to door to do assessment of the borrower and ensure collection efficiency is high.

In **retail loan**, these are individual loans and are given only to graduated customers (who have taken income generation loans and completed 3-5 cycles). Retail loans make up only (5%) of the loan book and the maximum they can take it to based on RBI guidelines is 15%.). **Collection efficiency in Q3'20 remained strong at 98.3%.**



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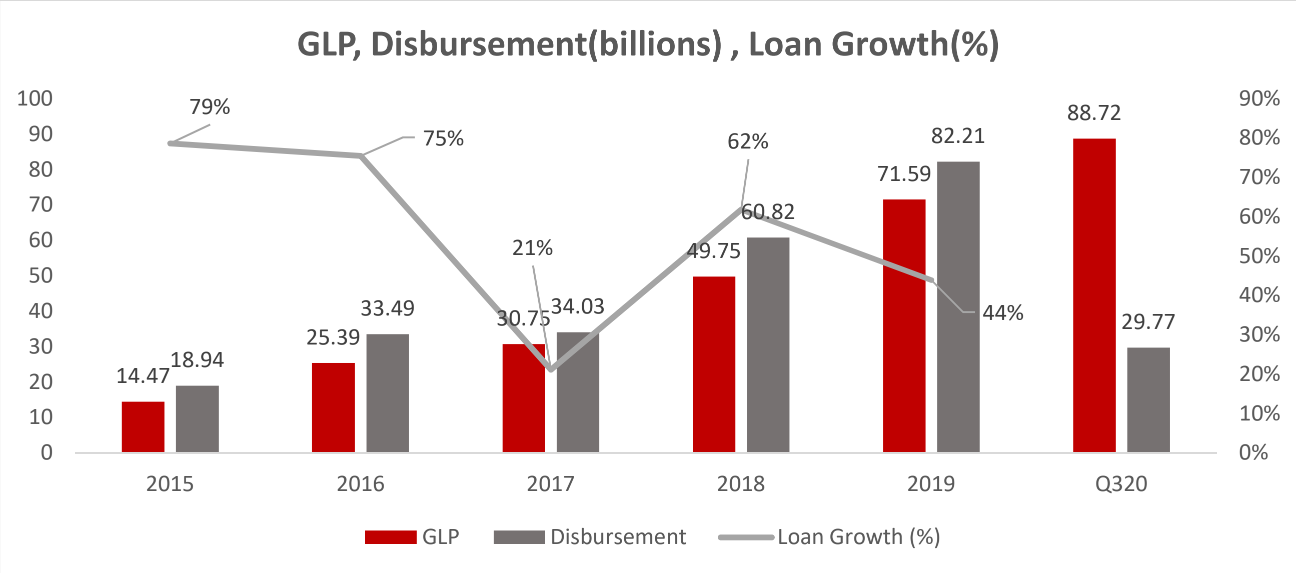
**Loan growth engine to maintain momentum**

CreditAcc GLP growth in Q3'20 was very strong at 46% YoY to Rs88.72 bn and in FY19 was 43.9% YoY to Rs71.59 bn. Despite competition from other MFI's the company has managed to grow their book at a very healthy rate with disbursements also showing a strong 68.9% YoY growth in Q3'20. The strong point of CreditAcc is its strong retention rate of 87%. In Q3'20 out of the total 27,70,000 borrowers, 8,90,000 borrowers have completed 3 years (showcasing high retention levels).

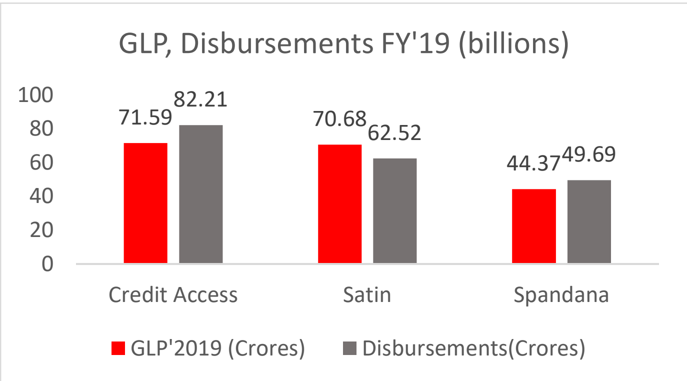
**Strong Loan Book Growth**

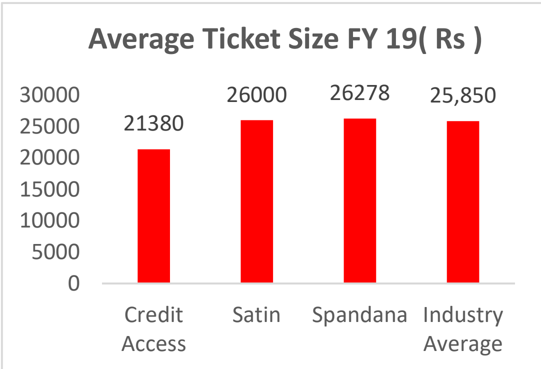



(Source: Company, Dalal & Broacha Research)

**Lowest average ticket size and largest GLP, Disbursemnt in the industry**

CreditAcc average ticket size in Fy'19 was lowest amongst its peers at Rs21,830. This is a positive as chances of delinquency lowers considerably if ticket sizes are low. Even with low ticket size their GLP in billions as of FY'19 is the highest amongst its peers. With Madura acquisition as on September'19 their combined GLP will be Rs99.58 bn putting it in pole position compared to its peers Satin (Rs 67.23 bn) and Spandana (Rs 54.07 bn) GLP.




(Source: Company, Dalal & Broacha Research)

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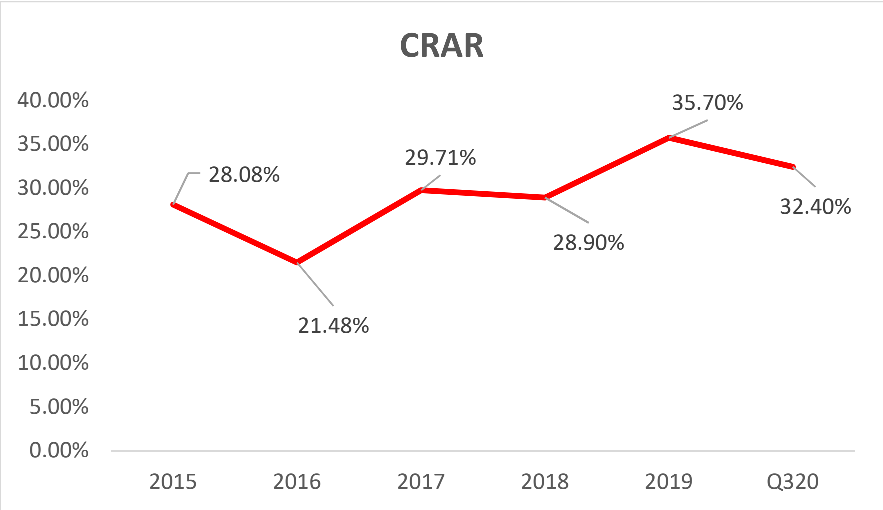
**Comfortable Capitalisation**




(Source: Company, Dalal & Broacha Research)

**Adequate capitalization levels; CRAR**

As on Q3'20 the company has a strong **CRAR** of 32.4%. **MFI's has a minimum requirement of 15% CRAR, CreditAcc and other MFI's maintain a high CRAR to immune themselves from adversities like floods, drought and farm waiver**.

The company's CRAR can fall to 23% after Madura acquisition after which the company will have to raise around Rs.12.21bn by FY21, to bring back the **CRAR** to 30%.

**Peer comparison**

| FY19 (%)/Rs-BVPS | NIM | GLP Growth | Disbursement Growth | C/I Ratio | GNPA | ROA | ROE | CAR | BVPS | P/BV |
|---|---|---|---|---|---|---|---|---|---|---|
| **Credit Access Ltd** | **13.9** | **44.0** | **35.0** | **34.0** | **0.61** | **5** | **16** | **36** | **164** | **2.42** |
| Satin Creditcare Ltd | 12.8 | 23.5 | 12.0 | 51.0 | 3.0 | 3 | 19 | 28 | 261 | 0.17 |
| Spandana Sphoorty Financial Ltd | 16.3 | 40.0 | 29.0 | 25.0 | 7.9 | 8 | 17 | 40 | 357 | 1.29 |
| **Average** | **14.3** | **35.8** | **25.3** | **36.0** | **3.8** | **5.33** | **17.3** | **34.6** | **260** | **2.58** |

(Source: Company, Dalal & Broacha Research)

**Madura acquisition**

In a big positive for the company has acquired Madura microfinance a leading microfinance institution of South India. GLP after acquisition as on H1'20 will go up to Rs. 99.58bn . Closest competitor Satin's MFI portfolio stands at 67.23bn as on H120. The company will purchase 100% stake in Madura in a two-step process. In the first leg, it has acquired 76.06% stake from Madura's existing shareholders in an all-cash deal and the Fy20 numbers include the acquired portion of Madura. In the next leg, Madura will be merged into Credit Access through a scheme of arrangement whereby Madura's residual shareholders will receive shares of CAGL.

**The total deal has been valued at Rs 8.69bn. 76.06% was completed by cash at Rs 6.61bn and 23.94% will be done by share swap leading to 1.85% dilution in CAGL. The deal was completed at a valuation of P/BV of 2.4x and P/E of 9.2x.**

The acquisition will help CAGL in improving their footprint in Tamil Nadu making them the market leader there with portfolio of Rs 23 bn. It will also help in portfolio diversification lowering Karnataka share from 49.4% to 41%.

**Madura has shown consistent growth in GLP (CAGR of 50% from FY16-19) and PAT (CAGR of 61% from FY16-19).**

The deal accelerates leverage at CAGL improving GLP/NW from 3.1x to 3.8x which will enable the company to get revenues at an accelerated rate.

The deal will help CAGL gain access to Madura Microfinance's intellectual property for enhanced data analytics. **Madura microfinance is one of the leaders in using technology for enhancing business in the industry. They possess an android mobile application with offline capability for sourcing, meetings, collections and audit. This application along with CAGL strong workforce will help in incremental addition of customers.**

Front end technological capabilities of Madura are better compared to Credit Access Grameen who have a very strong back-end technology, CreditAcc can leverage this front-end tech for example loan officers of Madura have a tablet where they get continuous data about the borrower, collection efficiency, default etc.

Costs will go up initially for the company as Madura follows a monthly collection and they need to be slowly brought down to weekly collections.

CreditAcc will look to implement multi product strategy in Madura who currently are not able to scale up because they do not have multi product.

**<u>Operational and Financial Data points after the merger:</u>**

**Combined loan book after the merger will be 114.40Bn. Branches will increase from 887 to 1317. Total employees increase from 9,817 to 13,129 and loan officers increase from 7,110 to 8,856.**

**Gross NPA** is expected to remain stable at 0.90% after the merger, Madura microfinance NPA levels were elevated in September'20 because of Gaja cyclone and is expected to normalize.

**<u>Impact of Covid19 on Credit Access Grameen:</u>**

Covid 19 has put pressure on all financial institutions and Microfinance companies have also bore the brunt as reflected in stock prices.

It was business as usual for the company till 20$^{th}$ March'20, after which lockdown brought a complete lockdown in collections as well as disbursements.

Company has decided to offer moratorium as prescribed by RBI to all its customers and collections will only be done if an entire centre decides to pay up. Communication is key in these cases and employees need to keep their engagement with customers to prevent delinquency when moratorium ends. The company are in touch with their borrowers for moratorium on their borrowings and has decided to continue to pay interest to its lenders during the moratorium period.

73% of customers have been with the company for more than a year, so we feel that once lockdown ends customers will honour their payments.

In terms of geography > 82% of their business is from rural areas where Covid cases are minimal, 41% of their portfolio is from Karnataka where cases as on date stands at 642 which is lower compared to other geographies. Company has raised Rs 21.81bn in Q4 as contingency and has a cash balance of Rs 5.30bn as on 31$^{st}$ March which will enable them to tide over the crisis.

**We have considered a modest advance growth of 29% for FY21 as April and May** will be washout months for credit growth and normal business should resume by June-July. Loan growth can pick up very quickly in the later half as need for credit once lockdown ends will be very high to revive and expand small businesses. **We have also taken a very conservative provision as a % of advances of 3.9% in Fy21 up from 1.5% in Fy20 and 1.3% in FY19.**

**CreditAcc has received the highest rating of M1C1 in Capacity Assessment and Code of Conduct Assessment by CRISIL.** CRISIL's Comprehensive Microfinance Capacity Assessment Grading of M1C1 signifies high capacity of the MFI to manage its operations in a sustainable manner and excellent performance on Code of Conduct dimensions.

**Risks in the business**

**Migrant issue due to Covid**: Movement of migrants to rural areas from urban centres can cause a reduction in rural household income leading to defaults, it's important for the Government to ensure migrant workers come back to urban areas as fast as possible to stabilize rural income.

**Political Interference:** Once lockdown ends following Covid, things will be back to normal, unless political forces to cater to their vote bank misguide the customers on paying their dues and force a waiver.

**Competition from banks and financial institutions**: CreditAcc is facing increasing competition from banks, MFI's and increasing number of Small Finance Banks. Banks are also looking to expand their rural footprint, CreditAcc needs to offer differentiated products and personalized service to continue growing at the current rate.

**Cash business**: The Company's lending and collection operations involve handling of large amounts of cash, including collections of instalment repayments in cash. Hence it is exposed to risk of loss, fraud, misappropriation or unauthorised transactions by loan and collection officers responsible for dealing with such cash collections.

**Credit Risk and other risks like loan waiver**: Any natural disaster like floods or drought can strain as repayments will be affected, but these microfinance companies have a very good capital adequacy that will help them tide over the crisis.

## Promoter and Management

79.94% is owned by the parent Credit Access Asia, there is no pledged holdings, Paolo Brichetti is the CEO and founder of Credit Access Asia. He has more than 20 years of experience in innovative business and financial initiatives. Prior to setting up CAA, he served as Managing Director of CTM Altromercato, Advisor of Council of Europe, President of Microcredit Scrl, MicrocreditCoop, and the European Fair-Trade Association. After the complete Madura acquisition stake will come down to around 78%, they have to eventually bring it down to 75%.

Almost all of the management team of CreditAcc have an experience of over 20 years. The CEO Mr. Udaya Kumar Hebbar has been the main architect and driving force for the overall success and growth of CreditAccess Grameen since 2010. He has around to 30 years of experience in the financial services industry. Prior to joining CA-Grameen, he was Associate Director at Barclays Bank. Other previous positions include Assistant Manager at Corporation Bank and Assistant General Manager at ICICI Bank.

## Why we prefer Credit Access Grameen

In pure play NBFC-MFI in terms of GLP it is the biggest and is a very nimble organization. Their rural focus will help them bounce back faster as impact of Covid has been minimal. Their low ticket sizes and focus on Group Liability loans will immune them to any shocks in terms of default. Microfinance Institutions have reinvented themselves every time a crisis hits them and Credit Acc with the help of strong financials along with strong tech advantage after acquiring Madura should bounce back strongly.

Analyst: Akshay Ashok 022 67141486

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## Valuation and Outlook

### Scenario1 (Conservative provisioning taken based on credit costs during demonetization)

Credit Penetration is extremely low in rural areas and there is a massive need for credit. Credit Access Grameen Ltd is a well-established player and is highly nimble. Although the company will face competition, the fact that it is the biggest NBFC-MFI player in terms of GLP will allow it to continue gaining market share and can grow their loan book at CAGR of 33% even post Covid. **We have also taken a very conservative provision as a (% of advances) of 3.9% in FY21 up from 1.5% in FY20 and 1.3% in FY19 and stock trades at 1.80x FY21 BVPS and 1.52x FY22 BVPS**

**We initiate coverage on CreditAcc with a BUY rating giving a P/BV multiple of 3.0x on FY21E ABVPS to arrive at target price of Rs 659 i.e. upside of 61.51%.**

### Scenario 2 (Less conservative provisioning taken as a % of advances)

**Taking a less conservative provision as a (% of advances) of 2.0% in Fy21 stock trades at 1.72x Fy21 BVPS and 1.44x Fy22 BVPS and at multiple of 3.0x on FY21E ABVPS we arrive at target price of Rs 690 i.e. upside of 69.1%.**

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## Company Financials

| P&L (Rs Billions) | FY18 | FY19 | FY20 | FY21 | FY22 |
|---|---|---|---|---|---|
| Interest income | 8.6 | 12.1 | 20.65 | 25.85 | 32.95 |
| Interest expense | 3.5 | 4.1 | 8.2 | 10.9 | 13.9 |
| **Net interest income** | **5.0** | **8.0** | **12.4** | **14.9** | **19.0** |
| Growth (%) | | 58 | 55 | 20 | 28 |
| Other Income | 0.1 | 0.65 | 1.1 | 1.2 | 1.5 |
| **Total Income** | **8.7** | **12.8** | **21.7** | **27.0** | **34.5** |
| Operating expenses | 2.0 | 2.9 | 5.5 | 6.9 | 9.0 |
| **PPOP** | **3.1** | **5.7** | **8.0** | **9.2** | **11.5** |
| Provisions | -0.1 | .7 | 1.4 | 4.6 | 3.5 |
| **PBT** | **3.2** | **4.9** | **6.5** | **4.6** | **8.0** |
| Tax | 1.1 | 1.7 | 1.7 | 1.1 | 2.0 |
| **PAT** | **2.1** | **3.2** | **4.8** | **3.4** | **6.0** |
| **EPS** | **17** | **22** | **33** | **24** | **41** |

| Balance sheet(Rs Billions) | FY18 | FY19 | FY20 | FY21 | FY22 |
|---|---|---|---|---|---|
| Share capital | 1.2 | 1.4 | 1.4 | 1.4 | 1.4 |
| Reserves & surplus | 13.0 | 22.2 | 26.8 | 30.7 | 36.7 |
| Borrowings | 36.2 | 48.6 | 104.8 | 133.0 | 179.0 |
| Other liability | .5 | 1.2 | 2.4 | 2.7 | 2.8 |
| **Total liabilities** | **51.1** | **73.5** | **135.5** | **167.9** | **220.0** |
| | | | | | |
| Cash & Bank | 1.4 | 6.1 | 15.4 | 14.5 | 13.1 |
| Advances | 48.9 | 66.0 | 114.4 | 148.1 | 201.4 |
| Fixed Assets | 0.09 | .1 | .2 | .2 | .3 |
| Other Assets | .6 | 1.2 | 1.8 | 2.0 | 2.1 |
| Goodwill | 0 | 0 | 3.5 | 3.0 | 3.0 |
| **Total assets** | **51.1** | **73.5** | **135.5** | **167.9** | **220.0** |

| Ratios | FY18 | FY19 | FY20 | FY21 | FY22 |
|---|---|---|---|---|---|
| | | **Growth (%)** | | | |
| **NII** | 48 | 58 | 55 | 20 | 28 |
| **PPOP** | 40 | 82 | 41 | 14 | 25 |
| **PAT** | 174 | 52 | 50 | (28) | 74 |
| **Advances** | 72 | 35 | 73 | 29 | 36 |
| | | **Spread (%)** | | | |
| **Yield on Advances** | 22.1 | 21.1 | 20.5 | 19.2 | 18.8 |
| **Cost of Borrowing** | 11.2 | 9.8 | 9.7 | 9.2 | 8.9 |
| **Spread** | 10.8 | 11.3 | 10.8 | 10.0 | 9.9 |
| **NIM** | 13.1 | 13.9 | 13.8 | 11..4 | 10.9 |
| | | **Asset quality (%)** | | | |
| **Gross NPAs** | 0.82 | 0.61 | 1.00 | 1.83 | 1.06 |
| **Net NPAs** | 0 | 0 | 0.07 | 0.07 | 0.05 |
| | | **Return ratios (%)** | | | |
| **RoE** | 20.7 | 16.9 | 18.6 | 11.4 | 17.1 |
| **RoA** | 5.0 | 5.2 | 4.6 | 2.3 | 3.1 |
| | | **Per share (Rs)** | | | |
| **EPS** | 17 | 22 | 33 | 24 | 41 |
| **BVPS** | 112 | 165 | 197 | 220 | 261 |
| | | **Valuation (x)** | | | |
| **P/E** | 23.3 | 18.04 | 12.03 | 16.5 | 9.7 |
| **P/BVPS** | 3.5 | 2.4 | 2.0 | 1.8 | 1.5 |

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